

Portfolio Management — PREVIEW

Course: CIFA — Certified Investment and Financial Analysts | **Level:** Intermediate Level

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

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1. What is portfolio management?

Portfolio management is the process of selecting, combining, and monitoring a group of investments (a "portfolio") to meet an investor's objectives, given their risk tolerance, return requirements, and time horizon. Rather than judging each investment purely in isolation, portfolio management studies how investments behave **together** — because combining assets that don't move in perfect lockstep with each other can reduce overall portfolio risk without necessarily sacrificing expected return. This insight is the foundation of modern portfolio theory.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CIFA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CIFA INTERMEDIATE LEVEL — PORTFOLIO MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Define "expected return" and "standard deviation" as applied to a single asset. (6 marks)
- (b) Explain the general relationship between risk and expected return that investors require. (6 marks)
- (c) Explain the concept of diversification and why it can reduce overall portfolio risk. (8 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes two-asset portfolio return and risk (with the full variance formula), the efficient frontier, the Capital Asset Pricing Model (CAPM), systematic vs unsystematic risk, active vs passive management, a fully worked two-asset portfolio computation, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.